1. Award: **0.29 points**

Which of the following is not one of the characteristics of a contract for purposes of revenue recognition?

- Rights.
- Approval.
- → Reasonable profit margin.
- Commercial substance.

The reasonableness of the contract's profit margin is not one of the characteristics of a contract.

References

Multiple Choice	Learning Objective: 06-01 State the core revenue recognition principle and the five key steps in applying it.

2. Award: **0.29 points**

Which of the following is not an indicator that control of a good has passed from the seller to the buyer?

- Buyer has assumed the risk and rewards of ownership.
- Buyer has legal title.
- Buyer has an unconditional obligation to pay.
- → Buyer has scheduled delivery.

Whether the buyer has scheduled delivery is not an indicator of passage of control. Delivery, such that the customer has physical possession, is a control indicator.

References

Multiple Choice	Learning Objective: 06-02 Explain when it is appropriate to recognize revenue at a single point in time.

3. Award: **0.29 points**

Which of the following is an indicator that revenue for a service can be recognized over time?

- → The seller is enhancing an asset that the buyer controls as the service is performed.
- The seller can estimate the percent of work completed.
- The sales price is fixed and determinable.
- The seller is providing continuous effort to the buyer.

The seller enhancing an asset that the buyer controls as work is performed, such as a seller performing work on a buyer's building, is one of the indicators that revenue can be recognized over time.

References

Multiple Choice	Learning Objective: 06-03 Explain when it is appropriate to recognize revenue over a period of time.

4. Award: **0.29 points**

Which of the following is **not** an indicator that revenue for a service can be recognized over time?

- The customer consumes the benefit of the seller's work as it performed.
- The asset being constructed has no alternative use to the seller, and the seller has the right to payment for progress to date even if the customer cancels the contract.
- The customer owns the asset as the seller is constructing it.
- → The seller has significant experience with the customer and anticipates fulfillment of the contract.

The seller's significant experience with the customer does not necessarily indicate that revenue should be recognized over time.

References

Multiple Choice	Learning Objective: 06-03 Explain when it is appropriate to recognize revenue over a period of time.

5. Award: **0.29 points**

Which of the following is consistent with goods and services being distinct for purposes of identifying separate performance obligations?

- The seller regularly sells the good or service separately.
- The buyer could use the good or service on its own.
- The buyer could use the good or service in combination with goods or services the buyer could obtain elsewhere.
- → All of the choices are correct.

All of the answers are consistent with the good or service being capable of being distinct and separately identifiable.

References

Multiple Choice	Learning Objective: 06-04 Allocate a contract's transaction price to multiple performance obligations.

6. Award: **0.29 points**

Which of the following is a separate performance obligation?

- An option for the customer to purchase additional products under the same terms enjoyed by other new customers.
- A prepayment.
- A right of return.
- → An extended warranty.

An extended warranty is capable of being distinct and separately identifiable, given that it is sold separately.

References

Multiple Choice	Learning Objective: 06-05 Determine whether a contract exists, and whether some frequently encountered features of contracts qualify as performance obligations.

7. Award: **0.29 points**

A company enters into a contract that includes a fixed fee of $300,000 and a bonus of $100,000 if the company can achieve a specified goal. The company estimates a 60% likelihood of achieving this goal. Under the expected value method of estimating variable consideration, the transaction price is:
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- $400,000
- $300,000
- → $360,000
- $340,000

The expected value is calculated as a probability-weighted transaction price. $360,000 = 60% × ($300,000 + $100,000) + 40% × ($300,000 + $0).

References

Multiple Choice	Learning Objective: 06-06 Understand how variable consideration and other aspects of contracts affect the calculation and allocation of the transaction price.

8. Award: **0.29 points**

Assume a prepayment is made six months in advance of delivery of a product. The seller is likely to do which of the following with respect to the time value of money over the life of the contract?

- Recognize interest expense.
- Recognize interest revenue.
- → Ignore the time value of money.
- None of the choices are correct.

Six months is less than one year, so the seller can assume that the financing component of the contract is not significant.

References

Multiple Choice	Learning Objective: 06-06 Understand how variable consideration and other aspects of contracts affect the calculation and allocation of the transaction price.

9. Award: **0.29 points**

Assume a prepayment is made six months in advance of delivery of a product. The seller is likely to do which of the following with respect to the time value of money over the life of the contract?

- Recognize interest expense.
- Recognize interest revenue.
- → Ignore the time value of money.
- None of the choices are correct.

Six months is less than one year, so the seller can assume that the financing component of the contract is not significant.

References

Multiple Choice	Learning Objective: 06-06 Understand how variable consideration and other aspects of contracts affect the calculation and allocation of the transaction price.

10. Award: 0.29 points

Bad debts:

- → Must be recognized as an expense.
- Reduce the transaction price that is allocated to separate performance obligations.
- Are only a concern in the case of installment sales.
- Must be recognized as a contra-revenue.

Bad debt expense must be accrued each period.

References

Multiple Choice	Learning Objective: 06-08 Understand the disclosures required for revenue recognition, accounts receivable, contract assets, and contract liabilities.

11. Award: 0.29 points

Allocation of the transaction price to performance obligations:

- Cannot be based on estimated selling prices.
- → Is based on relative standalone selling prices.
- May not use the residual method when selling prices are uncertain.
- Is not allowed when bad debts are material.

Allocation is based on the proportion of each standalone selling price to the sum of the standalone selling prices.

References

Multiple Choice	Learning Objective: 06-04 Allocate a contract's transaction price to multiple performance obligations.

12. Award: **0.29 points**

Which of the following is not an indicator that the seller may need to constrain recognition of variable consideration?

- The seller lacks experience selling similar products.
- → Based on much experience with the customer, the seller anticipates a more-than-remote chance that the receivable will prove uncollectible.
- Uncertain amounts are susceptible to important factors beyond the seller's control.
- Uncertainty will not resolve until far into the future.

A more-than-remote chance of uncollectible accounts is not an indicator that recognition of variable consideration should be constrained.

References

Multiple Choice	Learning Objective: 06-06 Understand how variable consideration and other aspects of contracts affect the calculation and allocation of the transaction price.

13. Award: **0.29 points**

When accounting for a long-term construction contract for which revenue is recognized over time according to the percentage of completion, gross profit is recognized in any year and is debited to:

- → Construction in progress.
- Accounts receivable.
- Deferred income.
- Billings on construction contract.

The entry is a debit to construction in progress (CIP) for gross profit, a debit to cost of construction for construction costs, and a credit to revenue.

References

Multiple Choice	Learning Objective: 06-09 Demonstrate revenue recognition for long-term contracts, both at a point in time when the contract is completed and over a period of time according to the percentage completed.

14. Award: **0.29 points**

Which of the following is typically treated as a separate performance obligation?

- An option to purchase additional goods at the normal discount provided to all customers.
- Quality-assurance warranty.
- Customer prepayment.
- → Extended warranty.

An extended warranty is typically treated as a separate performance obligation, as it provides a service that is not provided for ordinary purchases without additional payment.

References

Multiple Choice	Learning Objective: 06-05 Determine whether a contract exists, and whether some frequently encountered features of contracts qualify as performance obligations.

15. Award: **0.29 points**

Which of the following does **not** apply to a seller who is an agent?

- Not exposed to risks associated with holding inventory
- Not primarily responsible for providing goods or services to customer
- Primary performance obligation is to facilitate the transfer of goods or services
- → Has control over goods or services

An agent's primary performance obligation is to facilitate the transfer of goods or services. It typically does not have control over goods, is not responsible for providing goods or services, and is not exposed to the risks associated with holding inventory.

References

Multiple Choice	Learning Objective: 06-06 Understand how variable consideration and other aspects of contracts affect the calculation and allocation of the transaction price.

16. Award: 0.29 points

Which of the following is true?

- Licenses for functional intellectual property can be viewed as conveying a right of use.
- Licenses for symbolic intellectual property convey a right of use, and not a right of access.
- Licenses for functional intellectual property typically have revenue recognized over a period of time.
- Software and media are not examples of functional intellectual property.

Licenses for functional intellectual property convey a right of use.

References

Multiple Choice	Learning Objective: 06-07 Determine the timing of revenue recognition with respect to licenses, franchises, and other common arrangements.

17. Award: 0.36 points

Marcella displays her artwork in local coffee shops for sale. If a painting sells, Marcella remits a 10% fee to the owner of the coffee shop; if a painting doesn't sell, Marcella takes it back to her studio. This arrangement is an example of:

- → A consignment arrangement.
- A licensing arrangement involving symbolic intellectual property.
- A franchise arrangement.
- A bill-and-hold arrangement.

Under a consignment arrangement, the seller transfers property to an intermediary but still retains title and the risk of ownership, as the property reverts to the seller if it is not sold to a third party.

References

Multiple Choice	Learning Objective: 06-07 Determine the timing of revenue recognition with respect to licenses, franchises, and other common arrangements.